

STRATEGIC MANAGEMENT – WEEK 7 SUMMARY (CSR & BUSINESS ETHICS) – EXAM READY

This week's module focuses on **Stakeholder Theory, Corporate Social Responsibility (CSR), Corporate Governance (SOX Act), Collaborative Social Initiatives, and Limitations & Benefits of CSR**. These topics are highly important for theory, case-study, and long-answer questions.

◆ 1. STAKEHOLDER APPROACH

Concept of Stakeholder Theory

Stakeholder Theory focuses on **business ethics, values, morals, and social responsibility** while managing stakeholders involved with an organization.

Definition

A stakeholder approach is a management philosophy that emphasizes satisfying stakeholder interests rather than focusing exclusively on profit maximization. Strong stakeholder relationships improve business performance and long-term sustainability.

Historical Development

Scholar	Contribution
Ian Mitroff (1983)	First defined Stakeholder Theory
R. Edward Freeman (1983)	Popularized stakeholder theory through <i>Strategic Management: A Stakeholder Approach</i>

Key Principle

"Increasing value for stakeholders improves business performance in all aspects."

Stakeholder Connection

A stakeholder approach helps managers:

- Formulate processes satisfying stakeholder needs
- Build long-term relationships
- Develop competitive advantage
- Enhance trust and loyalty
- Strengthen organizational culture

Benefits

-  Strong reputation

- ✔ Customer loyalty
- ✔ Brand recognition
- ✔ Trust building
- ✔ Creation of core competencies

Limitation

- ✗ Difficult to achieve consensus among all stakeholders
-

Stakeholder Classification

Internal Stakeholders

Stakeholder	Interest
Investors/Shareholders	Profit and growth
Owners	Sustainability and strategic direction
Board of Directors	Strategic decisions
Managers	Performance and working conditions
Employees	Job security, wages, incentives

External Stakeholders

Stakeholder	Interest
Customers	Quality products/services
Communities	Social welfare
Creditors	Loan repayment
Labour Unions	Employee welfare
Government	Compliance and taxes
Suppliers	Long-term business
Media/Celebrities	Brand partnerships

◆ 2. CORPORATE SOCIAL RESPONSIBILITY (CSR)

📌 Definition

Corporate Social Responsibility (CSR) is a form of business self-regulation aimed at social accountability and creating a positive impact on society.

CSR Includes

- Environmental protection
- Diversity and inclusion
- Ethical labour practices
- Community development
- Ethical decision-making

📌 Need for CSR

Benefit	Explanation
Enhanced Reputation	Positive public image
Competitive Advantage	Differentiation from competitors
Risk Mitigation	Reduced legal and reputational risk
Social Welfare	Community development
Environmental Protection	Sustainability initiatives
Economic Growth	Employment and development

◆ 3. CARROLL'S CSR PYRAMID (VERY IMPORTANT)

Developed by **Archie Carroll (1991)**. It explains the four levels of CSR responsibility.

🏠 Carroll's CSR Pyramid

Level	Responsibility
Economic	Be profitable
Legal	Obey laws

Level	Responsibility
Ethical	Do what is right
Philanthropic	Give back to society

1 Economic Responsibility (Foundation)

- Generate profits
- Create jobs
- Promote economic growth

Key Phrase:

"Without economic viability, a company cannot fulfill other responsibilities."

2 Legal Responsibility

- Follow laws and regulations
 - Consumer protection
 - Labour laws
 - Environmental compliance
-

3 Ethical Responsibility

- Honesty
 - Fairness
 - Integrity
 - Moral conduct beyond legal requirements
-

4 Philanthropic Responsibility

- Donations
- Community projects
- Education support
- Healthcare initiatives

◆ 4. CORPORATE GOVERNANCE

📌 Definition

Corporate Governance refers to the system through which companies are directed and controlled. It defines the distribution of rights, responsibilities, and decision-making processes among stakeholders.

📌 Objectives

- Accountability
 - Transparency
 - Fairness
 - Ethical management
 - Stakeholder protection
-

◆ 5. SARBANES-OXLEY ACT (SOX)

📌 Definition

The Sarbanes-Oxley Act (SOX) is a major U.S. corporate governance law designed to improve accountability, transparency, auditing standards, and investor protection.

📌 Objectives of SOX

Fairness to Shareholders

- Protect shareholder rights

Fairness to Stakeholders

- Consider employee, supplier, customer interests

Board Responsibilities

- Independent directors
- Audit committees

Ethics

- Promote ethical conduct

Transparency

- Accurate disclosures
 - Reliable reporting
-

Important SOX Requirements

Audit Committee

- Independent members
- At least one financial expert

CEO & CFO Certification

Must certify:

- Accuracy of financial statements
- Effectiveness of internal controls

PCAOB

Public Company Accounting Oversight Board

Purpose:

- Regulate auditors
 - Improve auditing quality
-

SOX Guidelines

- Independent audit committee
 - Financial experts on board
 - Code of ethics
 - Internal controls
 - External auditor independence
-

◆ 6. FIVE SUCCESSFUL CSR INITIATIVES (CASE STUDIES)

These examples are extremely useful in case-study questions.

ITC e-Choupal

Objective

Empower farmers through technology.

Features

- Weather forecasts
- Market prices
- Best farming practices
- Village-level internet kiosks

Impact

- 6,500 kiosks
- 4 million farmers
- Increased productivity and income

Strategic Benefit

- Efficient supply chain
 - Strong farmer relationship
-

Piramal Sarvajal

Objective

Affordable safe drinking water.

Solutions

- RO purification
- UV purification
- Water ATMs
- Telecom-enabled monitoring

Impact

- 765,000 beneficiaries daily
 - 20 states covered
 - 2.45+ billion litres supplied
-

HUL Project Shakti

Objective

Empower rural women entrepreneurs.

Features

- Women become "Shakti Ammas"
- Distribution of HUL products
- Entrepreneurship training

Benefits

- Economic empowerment
 - Social recognition
 - Rural development
-

Coca-Cola Renewable Packaging

Objective

Create circular economy in packaging.

Key Initiatives

- Recyclable packaging
- Waste collection
- Recycling partnerships
- Reduced carbon footprint

Achievement

- 61% packaging collected/recycled
 - 90% packaging recyclable
-

7. LIMITATIONS OF CSR

Lack of Standards

Problems:

- Inconsistent reporting

- Difficult benchmarking
 - Reduced investor confidence
-

Data Quality Issues

Problems:

- Incomplete information
 - Inaccurate reporting
 - Measurement inconsistency
-

Stakeholder Engagement Challenges

Problems:

- Resource intensive
 - Power imbalance
 - Selective engagement
 - Conflict management difficulties
-

Impact Assessment Challenges

Problems:

- Difficult measurement
 - Scaling limitations
 - External factors
 - Communication difficulties
-

Benchmarking and Rating Challenges

Problems:

- Industry differences
- Subjective assessments
- Focus on outputs rather than outcomes

◆ 8. BENEFITS OF CSR

Benefit	Outcome
Better Reputation	Strong brand image
Stakeholder Trust	Stronger relationships
Employee Satisfaction	Lower turnover
Innovation	Sustainable growth
Risk Reduction	Long-term stability
Brand Loyalty	Increased customer retention

🔑 KEY EXAM PHRASES

Memorize these:

"Stakeholder theory emphasizes stakeholder value rather than profit maximization."

"CSR is business self-regulation for social accountability."

"Carroll's Pyramid consists of Economic, Legal, Ethical, and Philanthropic responsibilities."

"SOX improves corporate accountability and transparency."

"Effective CSR strengthens reputation, trust, and competitive advantage."

✅ EXPECTED EXAM QUESTIONS WITH ANSWERS

Q1. Explain Stakeholder Theory.

Answer

Stakeholder Theory emphasizes managing relationships with all stakeholders such as employees, customers, suppliers, shareholders, and communities. The objective is to maximize stakeholder value, improve organizational performance, and achieve long-term sustainability.

Q2. Explain Carroll's CSR Pyramid.

Answer

Carroll's Pyramid consists of four levels:

1. Economic Responsibility – Be profitable
2. Legal Responsibility – Obey laws
3. Ethical Responsibility – Do what is right
4. Philanthropic Responsibility – Contribute to society

These responsibilities collectively define corporate social responsibility.

Q3. What are the objectives of the Sarbanes-Oxley Act?

Answer

- Shareholder protection
 - Stakeholder fairness
 - Board accountability
 - Ethical governance
 - Financial transparency
 - Improved auditing standards
-

Q4. Discuss the benefits of CSR.

Answer

CSR improves:

- Reputation
 - Customer loyalty
 - Employee engagement
 - Innovation
 - Risk management
 - Sustainable growth
-

Q5. Explain Internal and External Stakeholders.

Answer

Internal stakeholders include:

- Owners
- Employees
- Managers
- Directors

External stakeholders include:

- Customers
- Suppliers
- Government
- Communities
- Creditors

CASE-STUDY-BASED ANSWERS FOR STRATEGIC MANAGEMENT

Case 1: Company facing public criticism due to environmental issues

Strategic Solution

Apply CSR strategy:

- Reduce pollution
- Improve sustainability
- Increase transparency
- Launch environmental programs

Framework: Carroll's CSR Pyramid

Case 2: Employees dissatisfied and turnover increasing

Strategic Solution

Use Stakeholder Theory:

- Improve working conditions
- Increase employee engagement
- Strengthen communication

- Provide ethical leadership
-

Case 3: Corporate fraud damages investor confidence

Strategic Solution

Apply SOX principles:

- Strengthen internal controls
 - Independent audits
 - CEO/CFO accountability
 - Transparent reporting
-

Case 4: Rural market penetration strategy required

Strategic Solution

Use ITC e-Choupal or HUL Project Shakti model:

- Community engagement
 - Local empowerment
 - Technology-driven inclusion
 - Long-term stakeholder relationships
-

Case 5: Company wants sustainable competitive advantage

Strategic Solution

Combine:

- Stakeholder approach
- CSR initiatives
- Ethical governance
- Environmental sustainability

Result:

- Strong reputation
- Customer loyalty

- Long-term profitability
-

LAST-MINUTE REVISION

Focus heavily on:

- ✓ Stakeholder Theory (Freeman)
- ✓ Carroll's CSR Pyramid
- ✓ Sarbanes-Oxley Act (SOX)
- ✓ ITC e-Choupal Case
- ✓ HUL Project Shakti Case
- ✓ Benefits and Limitations of CSR

These are the most likely areas for **8-mark, 10-mark, and case-study questions** in Strategic Management examinations.

STRATEGIC MANAGEMENT – WEEK 8 SUMMARY (WHY CORPORATES GO GLOBAL) – EXAM READY

This chapter focuses on **Globalization, Corporate Mindset, Global Strategic Planning, TOWS Matrix, McKinsey 7S Model, International Market Entry Strategies, and Challenges & Opportunities in Global Business**. It is highly important for **theory, strategic analysis, and case-study questions**.

◆ 1. WHY CORPORATES GO GLOBAL?

Corporate Mindset

A **corporate mindset** determines how an organization identifies opportunities, responds to threats, and formulates strategies. Organizations with a global mindset focus on:

- Competitive advantage
- Continuous improvement
- Long-term growth
- Adaptability
- Market expansion

Key Idea

Organizations with a competitive mindset are better positioned for long-term success.

Economies of Scale (EoS)

Definition

Economies of Scale refer to the cost advantages achieved when production increases and the average cost per unit decreases.

Benefits

- Lower production cost
- Higher efficiency
- Better resource utilization
- Increased profitability
- Competitive pricing

Key Relationship

Average Cost per Unit ↓ when Production Volume ↑

✦ Results of Economies of Scale

Result	Impact
Efficiency gains	Improved productivity
Excess production	Surplus inventory
Lower costs	Competitive prices
New market search	Global expansion

Strategic Insight

When domestic demand is insufficient to absorb production, companies explore **new international markets**.

◆ 2. COMPETITIVE ADVANTAGE IN GLOBAL MARKETS

✦ Definition

Competitive advantage is the unique capability that enables a company to outperform competitors.

Sources

Source	Advantage
Price	Cost leadership
Quality	Customer satisfaction
Innovation	Differentiation
Economies of Scale	Lower costs

Key Insight

Price + Quality + Innovation = Sustainable Competitive Advantage.

◆ 3. NEWER MARKETS & GLOBAL PRESENCE

✦ Why Enter New Markets?

New markets offer:

- Untapped demand
- Revenue growth
- Customer diversification
- Risk reduction
- Brand expansion

Benefits of Global Presence

Benefit	Explanation
Higher Revenue	Access to new customers
Higher Profits	Economies of scale
Sustainability	Long-term growth
Brand Recognition	Global visibility

◆ 4. GLOBAL STRATEGIC PLANNING

Definition

"Strategic planning is meaningless in a global economy unless it considers the global competitive environment."

Global Strategic Planning involves:

- Market selection
- Resource allocation
- Competitive positioning
- Long-term objectives

◆ 5. TOWS MATRIX (VERY IMPORTANT)

TOWS is an advanced version of SWOT that combines internal and external analysis to generate strategies.

TOWS Matrix

External/Internal	Strengths	Weaknesses
Opportunities	SO	WO
Threats	ST	WT

SO (Maxi-Maxi)

Use strengths to exploit opportunities.

Example: Strong brand + Emerging market expansion

ST (Maxi-Mini)

Use strengths to overcome threats.

Example: Innovation to counter competition

WO (Mini-Maxi)

Reduce weaknesses by utilizing opportunities.

Example: Improve technology through global partnerships

WT (Mini-Mini)

Defensive strategy.

- Minimize weaknesses
 - Avoid threats
 - Sometimes leads to retrenchment or liquidation
-

◆ 6. CHANGE MANAGEMENT

📌 Definition

Change Management is a structured approach to handling organizational transformation.

Famous Quote (Important)

“It is not the strongest, nor the most intelligent that survives. It is the one most adaptable to change.” – Charles Darwin

Objectives

- Reduce resistance
 - Improve adaptability
 - Ensure successful implementation
-

◆ 7. MCKINSEY 7S MODEL (VERY IMPORTANT)

Developed by:

- Tom Peters
- Robert Waterman
- Julien Philips

The model explains that organizational effectiveness depends on alignment among **7 interconnected elements**. The diagram on page 8 places **Shared Values at the center**, showing its influence on all other elements.

Hard Elements

Element	Meaning
Strategy	Long-term plan
Structure	Organizational hierarchy
Systems	Processes and procedures

Soft Elements

Element	Meaning
Shared Values	Core beliefs
Skills	Employee capabilities
Style	Leadership approach
Staff	Human resources

Importance

- Supports organizational alignment
 - Facilitates change management
 - Improves strategy implementation
-

Strategic Application Steps

1. Identify misalignments
 2. Determine optimal design
 3. Decide required changes
 4. Implement changes
 5. Continuously review all 7S elements
-

8. COMPETITIVE STRATEGIES FOR FOREIGN MARKETS

Entry Strategies

1. Exporting

Produce domestically and sell internationally.

Advantages

- Low risk
- Low investment

Example: Boeing

2. Wholly Owned Subsidiary (WOS)

Company fully owns foreign operations.

Advantages

- Full control
- Full profit retention

Disadvantages

- High investment
- High risk

Examples

- Hindustan Unilever (HUL)
 - KFC
-

3. Franchising

Local entrepreneur operates business under company brand.

Examples

- McDonald's
 - KFC
 - Dunkin' Donuts
-

4. Licensing

Grant rights to produce products in exchange for fees.

Advantages

- Low investment

Disadvantages

- Less control

Example: Toyota licensing arrangements

5. Joint Venture (JV)

Two companies collaborate.

Examples

- Hero Honda
 - BMW Brilliance (China)
-

6. Piggybacking

Use another firm's distribution network.

Example

- Bata selling Hush Puppies shoes in India
-

7. Turnkey Projects

Deliver complete ready-to-operate projects.

Example

- Zurich Airport International's involvement in Jewar Airport
-

◆ 9. GLOBALIZATION IN THE INDIAN CONTEXT

📌 Definition

Globalization is the increased interconnectedness and interdependence of countries through:

- Trade
 - Finance
 - Technology
 - Services
 - Ideas
-

📌 Globalization in India

Globalization in India accelerated through:

- Liberalization
 - Privatization
 - Foreign Direct Investment (FDI)
 - Trade reforms
-

📌 Factors Enhancing Globalization in India

Factor	Contribution
Capital Mobility	Global investment

Factor	Contribution
IT & Software Industry	Global outsourcing hub
WTO Participation	Increased trade
MNC Presence	Technology transfer
Economic Reforms	Market openness

◆ 10. BENEFITS OF GLOBALIZATION

Economic Benefits

- Increased trade
- Economic growth
- Job creation
- Higher per capita income

Consumer Benefits

- Greater product variety
- Better quality products
- Lower prices

Business Benefits

- Access to global markets
- Technology transfer
- Innovation opportunities

◆ 11. DISADVANTAGES OF GLOBALIZATION

Disadvantage	Impact
Decline of local industries	Increased competition
Economic inequality	Wealth gaps

Disadvantage	Impact
Social inequality	Unequal opportunities
Financial instability	Speculative risks

◆ 12. CHALLENGES FOR FIRMS IN GLOBAL MARKETS

1. Choosing the Right Country

Use:

- PESTEL Analysis
- McKinsey 7S Framework

Challenges:

- Political uncertainty
- Regulations
- Cultural differences

2. Managing Business at a Distance

Challenges:

- Communication
- Control
- Monitoring

3. Managing Diverse Cultures

Challenges:

- Language barriers
- Consumer preferences
- Management styles

4. Marketing Across Countries

Requires:

- Localization
 - Cultural adaptation
 - Transcreation
-

5. Tariffs and Fees

Challenges:

- Increased costs
 - Trade restrictions
 - Regulatory barriers
-

◆ 13. OPPORTUNITIES IN GLOBAL MARKETS

Opportunities

- ✓ Increased market size
 - ✓ Higher sales
 - ✓ Higher revenue
 - ✓ Diversification
 - ✓ Greater resilience during downturns
 - ✓ Extended Product Life Cycle
-

🔑 KEY EXAM PHRASES

Memorize these:

"Economies of Scale reduce average cost per unit."

"Global strategic planning requires worldwide opportunity identification."

"The TOWS Matrix transforms analysis into strategic action."

"Shared Values are the core of the McKinsey 7S Model."

"Globalization increases interconnectedness and interdependence."

✓ EXPECTED EXAM QUESTIONS WITH ANSWERS

Q1. Why do corporations go global?**Answer:**

Corporations go global to achieve economies of scale, access new markets, increase revenue, strengthen competitive advantage, diversify risks, and enhance brand recognition.

Q2. Explain Economies of Scale.**Answer:**

Economies of Scale occur when increased production reduces the average cost per unit, resulting in cost efficiency and competitive advantage.

Q3. Explain the TOWS Matrix.**Answer:**

TOWS Matrix combines strengths, weaknesses, opportunities, and threats to formulate four strategies:

- SO
 - ST
 - WO
 - WT
-

Q4. Explain McKinsey 7S Model.**Answer:**

The McKinsey 7S Model consists of:

- Strategy
- Structure
- Systems
- Shared Values
- Skills
- Style
- Staff

These elements must be aligned for organizational effectiveness.

Q5. Discuss entry strategies for foreign markets.

Answer:

Common strategies include:

- Exporting
 - Franchising
 - Licensing
 - Joint Venture
 - Wholly Owned Subsidiary
 - Piggybacking
 - Turnkey Projects
-

 CASE-STUDY-BASED ANSWERS FOR STRATEGIC MANAGEMENT

Case 1: Company facing stagnant domestic demand

Solution:

- Expand globally
 - Utilize excess production
 - Achieve economies of scale
 - Explore emerging markets
-

Case 2: Company entering a foreign market

Solution:

Apply:

- PESTEL Analysis
- TOWS Matrix
- McKinsey 7S Framework

to evaluate market attractiveness and organizational readiness.

Case 3: Company struggling with global competition

Solution:

Focus on:

- Innovation
- Cost leadership
- Quality improvement
- Economies of Scale

to build sustainable competitive advantage.

Case 4: Merger with foreign partner fails due to cultural issues

Solution:

Use:

- Change Management
- McKinsey 7S Model
- Cross-cultural training

to align organizational culture.

Case 5: International expansion strategy selection

Recommended Options

Objective	Best Strategy
Low Risk	Exporting
Full Control	Wholly Owned Subsidiary
Low Investment	Licensing
Shared Risk	Joint Venture
Quick Expansion	Franchising

LAST-MINUTE REVISION

Focus especially on:

- ✓ Economies of Scale (EoS)
- ✓ TOWS Matrix
- ✓ McKinsey 7S Model

- ✓ Foreign Market Entry Strategies
- ✓ Globalization in India
- ✓ Challenges & Opportunities of Global Expansion

These are the most likely topics for **5-mark, 10-mark, and case-study questions** in Strategic Management exams.

■ STRATEGIC MANAGEMENT – WEEK 9 SUMMARY (BLUE OCEAN STRATEGY) – EXAM READY

This week focuses on **Blue Ocean Strategy, Red Ocean Strategy, Purple Ocean Strategy, Ansoff Growth Matrix, McKinsey 7S Model, and Triple Bottom Line (TBL)**. These concepts are highly important for **strategic planning, innovation, growth strategies, sustainability, and case-study questions**.

◆ 1. BLUE OCEAN STRATEGY (VERY IMPORTANT)

📌 Definition

Blue Ocean Strategy is the **simultaneous pursuit of differentiation and low cost** to create new market space and generate new demand.

Key Quote

"Creating and capturing uncontested market space, thereby making competition irrelevant."

Developed By

- W. Chan Kim
 - Renée Mauborgne
 - Book: *Blue Ocean Strategy* (2005)
-

📌 Core Concept: Value Innovation

Blue Ocean Strategy is built on **Value Innovation**, which means:

Simultaneously:

- ✓ Increase customer value
 - ✓ Reduce costs
 - ✓ Create new demand
 - ✓ Eliminate competition
-

📌 Characteristics

Feature	Description
New Market Space	Uncontested market

Feature	Description
Innovation	Break industry norms
Low Competition	Competition becomes irrelevant
New Demand	Attract untapped customers
Growth Potential	High profitability

◆ 2. BENEFITS OF BLUE OCEAN STRATEGY

1. Creates Uncontested Market Space

Companies enter markets with little or no competition.

2. Makes Competition Irrelevant

Unique value proposition reduces direct rivalry.

3. Creates New Demand

Targets customers previously ignored by competitors.

4. Breaks Value-Cost Trade-Off

Traditionally firms choose:

- Low Cost OR
- Differentiation

Blue Ocean achieves both.

5. Achieves Value Innovation

Differentiation + Low Cost = Sustainable Growth

◆ 3. THE PARADOX OF BLUE OCEAN

Research cited in the notes found:

Category	Percentage
Line Extensions	86%
New Market Creation	14%

Key Insight

Most companies remain in **Red Oceans**, while very few create **Blue Oceans**.

◆ 4. HOW TO CREATE A BLUE OCEAN

Step 1: Detailed Situation Analysis

Analyze:

- Market conditions
 - Competitors
 - Customer needs
 - Industry structure
-

Step 2: Identify the Gap

Find the gap between:

- Existing market offerings
 - Unmet customer needs
-

Step 3: Create a Revolution

Challenge industry norms.

Introduce disruptive innovations.

◆ 5. BLUE OCEAN EXAMPLES (CASE STUDY FAVORITES)

Netflix

Innovation

- Replaced video rental stores
- Introduced mail-order rentals
- Pioneered subscription-based streaming

Result

Created a completely new entertainment market.

Uber

Industry Problem

Traditional taxi services:

- Poor tracking
- Limited payment options
- Lack of convenience

Innovation

- Mobile app booking
- GPS tracking
- Driver-owned vehicles

Result

Created a new mobility platform.

Tesla

Innovation

- Electric vehicles
- Advanced technology
- Sustainable transportation

Result

Created a unique market position in automobiles.

6. RED OCEAN STRATEGY

Definition

Red Ocean refers to existing markets characterized by:

- Intense competition
- Market saturation
- Price wars
- Limited differentiation

The term symbolizes the "bloodshed" of competition.

Blue Ocean vs Red Ocean

Blue Ocean	Red Ocean
Create demand	Compete for existing demand
Uncontested market	Crowded market
Innovation-driven	Competition-driven
Differentiation + Low Cost	Cost competition
High growth potential	Limited growth

◆ 7. ADVANTAGES OF RED OCEAN STRATEGY

Benefits

- ✓ Lower risk
 - ✓ Established market
 - ✓ Less uncertainty
 - ✓ Existing customer base
 - ✓ Fewer resources required
-

Why Firms Still Choose Red Oceans?

- Proven business models
 - Easy benchmarking
 - Predictable demand
 - Lower innovation requirements
-

◆ 8. DISADVANTAGES OF RED OCEAN STRATEGY

Major Problems

- ✗ Relentless competition

- ✗ Price wars
 - ✗ Reduced profitability
 - ✗ Lack of differentiation
 - ✗ Weak USP (Unique Selling Proposition)
 - ✗ Market saturation
-

Results of Red Oceans

1. Market Saturation

Growth opportunities decline.

2. Price Wars

Companies compete primarily through pricing.

3. Diversification

Firms seek growth through new products or markets.

◆ 9. PURPLE OCEAN STRATEGY

📌 Concept

Purple Ocean Strategy combines elements of:

- Blue Ocean Strategy
- Red Ocean Strategy

Goal

Balance:

- Innovation
 - Competition
 - Profitability
-

📌 Key Features

- Understand market realities
- Develop competitive strategies

- Allocate resources wisely
- Preserve bargaining power
- Ensure sustainable growth

◆ 10. IMPORTANCE OF CORPORATE-LEVEL DECISION MAKING

Strategic decisions help organizations:

Benefit	Impact
Goal Definition	Clear direction
Competitiveness	Competitive advantage
Financial Performance	Higher profitability
Risk Management	Reduced uncertainty
Innovation	Growth opportunities
Communication	Better collaboration
Employee Engagement	Higher participation

◆ 11. ANSOFF GROWTH MATRIX (VERY IMPORTANT)

Ansoff Matrix helps organizations choose growth strategies and assess risk.

Ansoff Matrix

Strategy	Product	Market
Market Penetration	Existing	Existing
Product Development	New	Existing
Market Development	Existing	New
Diversification	New	New

1. Market Penetration

Increase sales of existing products in existing markets.

Methods

- Discounts
 - Promotions
 - Better distribution
-

2. Product Development

Introduce new products to existing customers.

Example

Apple launching iPhone upgrades.

3. Market Development

Sell existing products in new markets.

Example

Netflix expanding globally.

4. Diversification

Introduce new products in new markets.

Highest Risk Strategy

Also called:

"Suicidal Cell" due to high uncertainty.

◆ 12. BENEFITS & RISKS OF ANSOFF MATRIX

Benefits

- ✓ Simple to use
 - ✓ Evaluates growth options
 - ✓ Supports risk analysis
 - ✓ Provides strategic alternatives
-

Risks

- ✗ Ignores competitors
 - ✗ No cost-benefit evaluation
 - ✗ Market predictions may be inaccurate
-

◆ 13. MCKINSEY 7S MODEL (REVISION)

The notes revisit the McKinsey 7S Framework.

Hard Elements

- Strategy
- Structure
- Systems

Soft Elements

- Shared Values
- Skills
- Style
- Staff

Key Insight

The diagram on page 15 shows **Shared Values at the center**, emphasizing that all seven elements must remain aligned for effective strategy execution.

◆ 14. TRIPLE BOTTOM LINE (TBL) – VERY IMPORTANT

📌 Definition

Triple Bottom Line (TBL) is a sustainability framework that measures organizational performance using:

Three Dimensions

1. Social
2. Environmental
3. Financial

Developed by:

Purpose

Traditional evaluation focuses only on profit.

TBL expands evaluation to:

- People
 - Planet
 - Profit
-

15. THREE Ps OF TBL

The diagram on page 17 illustrates the relationship among People, Planet, and Profit, with sustainability achieved when all three overlap.

People (Social)

Focus:

- Employee welfare
 - Community development
 - Diversity & inclusion
 - Stakeholder well-being
-

Planet (Environmental)

Focus:

- Sustainability
 - Resource conservation
 - Waste reduction
 - Carbon footprint reduction
-

Profit (Economic)

Focus:

- Profitability

- Long-term growth
 - Financial sustainability
-

◆ 16. BEVS CONCEPT

Components

Component Meaning

Bearable Impact should be manageable

Equitable Fair distribution of benefits

Viable Economically feasible

Sustainable Long-term continuity

◆ 17. BENEFITS OF TBL

Organizational Benefits

- ✓ Lower energy costs
 - ✓ Lower CO₂ emissions
 - ✓ Higher accountability
 - ✓ Improved stakeholder trust
 - ✓ Sustainable development
 - ✓ Better corporate reputation
-

🔑 KEY EXAM PHRASES

Memorize these:

"Blue Ocean Strategy creates uncontested market space."

"Value Innovation is the cornerstone of Blue Ocean Strategy."

"Red Oceans are characterized by intense competition and price wars."

"Ansoff Matrix helps evaluate growth opportunities."

"Triple Bottom Line measures People, Planet, and Profit."

"Shared Values are the core of the McKinsey 7S Model."

✓ EXPECTED EXAM QUESTIONS WITH ANSWERS

Q1. Define Blue Ocean Strategy.

Answer:

Blue Ocean Strategy is the simultaneous pursuit of differentiation and low cost to create uncontested market space and make competition irrelevant.

Q2. Differentiate Blue Ocean and Red Ocean Strategies.

Blue Ocean	Red Ocean
Creates demand	Fights for existing demand
Low competition	High competition
Innovation	Benchmarking
High growth	Saturation

Q3. Explain Value Innovation.

Answer:

Value Innovation is the process of increasing customer value while reducing costs, thereby achieving differentiation and low cost simultaneously.

Q4. Explain the Ansoff Growth Matrix.

Answer:

The Ansoff Matrix consists of:

- Market Penetration
- Product Development
- Market Development
- Diversification

It helps organizations select growth strategies and evaluate risks.

Q5. What is Triple Bottom Line?

Answer:

Triple Bottom Line is a sustainability framework that evaluates organizational performance through:

- People
 - Planet
 - Profit
-

CASE-STUDY-BASED ANSWERS FOR STRATEGIC MANAGEMENT

Case 1: Industry facing severe price competition

Solution:

Adopt Blue Ocean Strategy by:

- Creating new value propositions
- Identifying unmet customer needs
- Avoiding direct competition

Example: Uber, Netflix

Case 2: Company wants growth beyond existing markets

Solution:

Use Ansoff Matrix:

- Market Development
- Diversification
- Product Development

based on risk appetite.

Case 3: Company wants long-term sustainability

Solution:

Implement Triple Bottom Line:

- Improve employee welfare
- Reduce environmental impact
- Maintain profitability

Case 4: Organization struggling with strategy execution

Solution:

Apply McKinsey 7S Model:

- Align Strategy
 - Structure
 - Systems
 - Shared Values
 - Skills
 - Style
 - Staff
-

Case 5: Startup entering a crowded market

Solution:

Avoid Red Ocean competition.

Create a Blue Ocean by:

- Offering unique value
 - Differentiating products
 - Targeting untapped customer segments
-

LAST-MINUTE REVISION

Focus heavily on:

- ✓ Blue Ocean Strategy
- ✓ Value Innovation
- ✓ Red Ocean vs Blue Ocean
- ✓ Purple Ocean Strategy
- ✓ Ansoff Growth Matrix
- ✓ McKinsey 7S Model
- ✓ Triple Bottom Line (People–Planet–Profit)

These are the most likely topics for **5-mark, 10-mark, and case-study questions** in Strategic Management examinations.

STRATEGIC MANAGEMENT – WEEK 10 SUMMARY (Strategy for Winning Market Share) – EXAM READY

This chapter focuses on **Market Share, Competitive Advantage, First Mover Advantage, Disruptive Innovation, Economies of Scale & Scope, Strategic Gap Analysis, Growth Opportunities, and the Nadler-Tushman Congruence Model**. These topics are highly important for **strategy formulation, growth planning, case studies, and exam questions**.

◆ 1. MARKET SHARE

Definition

Market Share refers to the percentage of total industry sales earned by a company during a specific period.

Definitions

American Marketing Association (AMA):

"The percentage of an industry or market's total sales earned by a particular company over a specified period."

Philip Kotler & Gary Armstrong:

"The company's sales of a product as a percentage of the total sales of all products in the market."

Formula

$$\text{Market Share} = \frac{\text{Company Sales}}{\text{Total Industry Sales}} \times 100$$

Example

Company Sales = ₹500 Crores

Industry Sales = ₹2,000 Crores

Market Share = 25%

Significance of Market Share

Benefits

-  Strong competitive position

- ✓ Indicates business performance
 - ✓ Measures effectiveness of strategies
 - ✓ Improves profitability
 - ✓ Helps evaluate market leadership
-

◆ 2. MARKET SHARE & COMPETITIVE ADVANTAGE

Higher market share often provides:

Supplier Power

- Better bargaining power
- Lower procurement costs

Economies of Scale

- Lower production costs
- Higher efficiency

Brand Reputation

- Increased trust
- Strong market presence

Brand Loyalty

- Repeat purchases
 - Customer retention
-

◆ 3. STRATEGIES TO GAIN MARKET SHARE

✚ 1. Innovation

Develop innovative products and services that meet changing customer needs.

Example

- Apple iPhone
 - Tesla EVs
-

✚ 2. Build Customer Loyalty

Methods:

- Reward programs
 - Membership benefits
 - Personalized services
-

3. Business Acquisitions

Acquire competitors to:

- Expand customer base
 - Increase resources
 - Grow market presence
-

4. Competitive Pricing

Reduce prices strategically to attract:

- Price-sensitive customers
 - New market segments
-

4. HOW TO ATTRACT NEW CUSTOMERS

Key Methods

- Improve marketing communication
 - Launch referral programs
 - Enhance website experience
 - Strengthen brand messaging
-

5. STRATEGIES TO PREVENT MARKET SHARE LOSS

Important Strategies

Continuous Monitoring

Track market share regularly.

Competitor Analysis

Study competitors' moves and strategies.

Market Intelligence

Monitor new entrants and emerging threats.

Product Reinvention

Upgrade products to meet changing customer expectations.

Brand Rejuvenation

Refresh brand identity and positioning.

◆ 6. FIRST MOVER ADVANTAGE (VERY IMPORTANT)

📌 Definition

First Mover Advantage refers to the competitive advantage gained by being the first company to introduce a product or service into the market.

📌 Advantages

1. Industry Standard Setting

The first entrant often establishes product standards.

2. Strong Brand Recognition

Customers remember the pioneer brand.

3. Resource Control

First movers gain access to:

- Prime locations
- Suppliers
- Talent

4. High Switching Costs

Customers may hesitate to switch to competitors.

📌 Benefits

Benefit	Outcome
Technology Leadership	Innovation leadership
Resource Control	Entry barriers
Customer Loyalty	Strong retention
Brand Recognition	Market dominance

✦ Disadvantages

Risks of Being First

- ✗ High customer education costs
- ✗ Competitors learn from mistakes
- ✗ Reverse engineering by followers
- ✗ Better versions introduced later

Example

Facebook was not the first social network but became the dominant player.

◆ 7. DISRUPTIVE INNOVATION

✦ Definition

Coined by **Clayton Christensen (1997)**.

Disruptive Innovation refers to innovations that transform existing markets by introducing simpler, cheaper, and more accessible products or services.

✦ Characteristics

Simplicity

Easy-to-use solutions.

Accessibility

Serves broader customer groups.

Affordability

Lower-cost alternatives.

Market Transformation

Challenges established players.

◆ 8. TYPES OF DISRUPTIVE INNOVATION

1. Game-Changing Products

Create entirely new customer experiences.

Example

Jio revolutionized telecommunications in India.

2. Game-Changing Business Models

Transform how value is delivered.

Example

Netflix

- Subscription model
 - Streaming platform
-

3. Game-Changing Technologies

New technologies disrupting industries.

Examples

- Uber
 - Airbnb
-

◆ 9. NEGATIVE EFFECTS OF DISRUPTION

Challenges

- ✗ Job losses
- ✗ Business closures
- ✗ Resistance to change

✗ Obsolescence of old systems

◆ 10. DISRUPTION PROFILE (IMPORTANT CASE STUDY MODEL)

The disruption lifecycle diagram on page 8 shows how performance drops and recovers after a disruptive event.

Eight Stages

Stage	Description
1	Preparation
2	Disruptive Event
3	First Response
4	Delayed Impact
5	Full Impact
6	Recovery Preparation
7	Recovery
8	Long-Term Impact

◆ 11. ECONOMIES OF SCALE

📌 Definition

Economies of Scale occur when increased production reduces average production cost.

Key Principle

Output↑⇒Average Cost per Unit↓

Benefits

- ✓ Lower production cost
- ✓ Greater efficiency
- ✓ Competitive pricing

- ✓ Higher profitability
-

◆ 12. ECONOMIES OF SCOPE

📌 Definition

Economies of Scope occur when multiple products are produced using the same resources, reducing overall costs.

Example

LG

- Television
- Refrigerator
- Washing Machine
- Microwave Oven

using common resources and infrastructure.

◆ 13. ECONOMIES OF SCALE vs ECONOMIES OF SCOPE

Aspect	Scale	Scope
Focus	Bulk production	Variety of products
Cost Reduction	Single product	Multiple products
Approach	Traditional	Modern
Resources	More resources	Shared resources

(As shown in the comparison table on page 10.)

◆ 14. STRATEGIC GAP ANALYSIS (SGA)

📌 Definition

Gap Analysis measures the difference between:

Current State

(Where we are)

and

Desired State

(Where we want to be)

Purpose

- Identify weaknesses
 - Improve performance
 - Achieve strategic goals
 - Respond to environmental changes
-

Gap Analysis Framework

The graph on page 12 compares:

1. Desired Development
2. Potential Development (optimal conditions)
3. Projected Development (unchanged conditions)

The difference between current performance and desired performance is called the **Strategic Gap**.

Steps in Gap Analysis

Step 1

Examine goals and vision.

Step 2

Assess current state.

Step 3

Analyze gaps.

Step 4

Measure performance gap.

Step 5

Identify root causes.

◆ 15. GROWTH OPPORTUNITIES TO CLOSE STRATEGIC GAPS

A. Intensive Growth

Market Penetration

Existing products → Existing market

Market Development

Existing products → New market

Product Development

New products → Existing market

B. Integrative Growth

Backward Integration

Control suppliers.

Forward Integration

Control distribution.

Horizontal Integration

Acquire competitors.

C. Diversification Growth

Concentric Diversification

Related products.

Horizontal Diversification

New products for existing customers.

Conglomerate Diversification

New products for new customers.

◆ 16. NADLER-TUSHMAN CONGRUENCE MODEL

📌 Definition

Developed by:

- David Nadler
- Michael Tushman

The model examines how organizational components work together and identifies operational gaps.

Framework

Inputs

- Environment
- Resources
- Culture

↓

Transformation Process

- Work
- People
- Formal Organization
- Informal Organization

↓

Outputs

- Individual performance
- Group performance
- Organizational performance

(The diagram on page 17 illustrates this Input → Transformation → Output flow.)

Key Questions

Work & People

Are the right people doing the right work?

Work & Structure

Does structure support work?

Work & Culture

Does culture improve performance?

People & Culture

Does culture support employees?

Culture & Structure

Are structure and culture aligned?

KEY EXAM PHRASES

"Market share is a measure of competitive strength."

"First movers gain brand recognition and customer loyalty."

"Disruptive innovation transforms markets through simplicity and affordability."

"Economies of Scale reduce unit costs through volume."

"Economies of Scope reduce costs through product variety."

"Strategic Gap Analysis identifies the gap between current and desired performance."

"The Nadler-Tushman Model emphasizes organizational congruence."

EXPECTED EXAM QUESTIONS WITH ANSWERS

Q1. Define Market Share.

Answer:

Market Share is the percentage of total industry sales earned by a company during a specified period.

Q2. Explain First Mover Advantage.

Answer:

First Mover Advantage is the competitive benefit obtained by being the first entrant in a market. It provides brand recognition, customer loyalty, resource control, and technology leadership.

Q3. What is Disruptive Innovation?

Answer:

Disruptive Innovation is an innovation that makes products or services more affordable, accessible, and simpler, eventually challenging established competitors.

Q4. Differentiate Economies of Scale and Scope.

Answer:

Economies of Scale reduce costs through mass production, whereas Economies of Scope reduce costs by producing multiple products using shared resources.

Q5. Explain Strategic Gap Analysis.**Answer:**

Strategic Gap Analysis compares current performance with desired performance to identify gaps and develop improvement strategies.

✓ CASE-STUDY-BASED ANSWERS FOR STRATEGIC MANAGEMENT**Case 1: Company losing market share****Solution:**

- Continuous market monitoring
 - Competitor analysis
 - Product reinvention
 - Brand rejuvenation
-

Case 2: Startup launching a new technology**Solution:**

Apply First Mover Strategy:

- Build brand recognition
 - Establish industry standards
 - Capture early adopters
-

Case 3: Industry disrupted by new technology**Solution:**

Adopt disruptive innovation:

- Simplify offerings
 - Reduce cost
 - Expand accessibility
-

Case 4: Manufacturing company wants cost leadership

Solution:

Use Economies of Scale:

- Increase production volume
 - Improve operational efficiency
 - Reduce per-unit costs
-

Case 5: Organization underperforming against targets

Solution:

Conduct Strategic Gap Analysis:

- Compare actual vs desired performance
 - Identify root causes
 - Implement growth strategies
 - Monitor progress continuously
-

LAST-MINUTE REVISION

Focus heavily on:

- ✓ Market Share & Formula
- ✓ First Mover Advantage
- ✓ Disruptive Innovation (Clayton Christensen)
- ✓ Economies of Scale vs Scope
- ✓ Strategic Gap Analysis
- ✓ Intensive, Integrative & Diversification Growth
- ✓ Nadler–Tushman Congruence Model

These are the most likely topics for **5-mark, 10-mark, and case-study questions** in Strategic Management examinations.

STRATEGIC MANAGEMENT – WEEK 11 SUMMARY (Intensive Growth Strategies) – EXAM READY

This chapter focuses on **Intensive Growth Strategies, Ansoff Product-Market Matrix, Integrative Growth Strategies, Diversification Strategies, Horizontal Growth, and Vertical Growth**. These topics are highly important for **strategy formulation, growth decisions, mergers & acquisitions, and case-study questions**.

◆ 1. INTENSIVE GROWTH STRATEGY

Definition

Intensive Growth Strategy focuses on increasing sales, revenue, and market share within the company's existing product-market domain.

Key Objective

- Safeguard current market position
- Expand within existing markets
- Increase profitability
- Improve product performance

Key Idea

Intensive Growth = Growth through existing products and/or existing markets.

◆ 2. ANSOFF PRODUCT-MARKET MATRIX (VERY IMPORTANT)

The **Ansoff Matrix** is one of the most widely used strategic planning tools for identifying growth opportunities.

The matrix on page 2 classifies growth strategies based on:

	Existing Products	New Products
Existing Markets	Market Penetration	Product Development
New Markets	Market Development	Diversification

Four Growth Strategies

Market Penetration

Existing Products + Existing Markets

Objective:

- Increase market share
- Increase sales volume

Methods

- Promotions
- Advertising
- Competitive pricing
- Customer retention

Risk Level

✓ Lowest Risk

2 Product Development

New Products + Existing Markets

Objective:

- Introduce new or improved products
- Increase sales from existing customers

Example

A smartphone company launching a new model.

Risk Level

⚠ Moderate Risk

3 Market Development

Existing Products + New Markets

Objective:

- Enter new geographic regions
- Target new customer segments

Example

Selling products in another state or country.

Risk Level

⚠ Moderate Risk

Diversification

New Products + New Markets

Objective:

- Enter entirely new markets
- Reduce dependence on existing business

Risk Level

✖ Highest Risk

Benefit

Provides protection against market downturns.

◆ 3. TYPES OF INTENSIVE GROWTH STRATEGIES

A. Market Penetration

Definition

Growth achieved through selling existing products in existing markets.

Goal

Increase market share.

Example from Notes

If 21 million users use Provider A out of 69 million internet users:

Market Share = 30.43%

B. Product Development Strategy

Definition

Developing new or improved products for current markets.

Success Factors

- Low brand loyalty markets

- Short product life cycles
 - Continuous innovation
-

C. Market Development Strategy

Definition

Selling existing products in new markets.

Methods

- Geographic expansion
- New customer segments
- International expansion

Example

Going from one region to another or one country to another.

◆ 4. PRODUCT DEVELOPMENT PROCESS (IMPORTANT)

The flowchart on page 5 outlines the Product Development Process.

Steps

1. Identify Product Concept

Generate ideas from:

- Customer feedback
 - Market trends
 - Internal innovation
-

2. Seek Market Feedback

Validate idea through:

- Surveys
 - Focus groups
 - Market research
-

3. Create Prototype / MVP

Develop a working model.

4. Prepare Marketing & Sales Plan

- Positioning
 - Promotions
 - Launch strategy
-

5. Build Product

Scale production and ensure quality.

6. Release to Customers

Launch into the market.

7. Analyze Feedback & Improve

Monitor:

- Customer reviews
 - Sales performance
 - Product issues
-

◆ 5. INTEGRATIVE GROWTH STRATEGIES

📌 Definition

Integrative Growth involves combining or integrating businesses to increase market power, efficiency, and profitability.

Objectives

- Synergy creation
 - Resource sharing
 - Economies of scale
 - Competitive advantage
-

◆ 6. MERGERS

📌 Definition

A merger occurs when two or more companies combine to form a larger entity.

Objectives

- Increase market share
 - Improve efficiency
 - Gain synergies
 - Enhance competitiveness
-

Examples

Vodafone + Idea

Merged operations to strengthen market position.

Coca-Cola + Monster Energy

Expanded beverage portfolio through acquisition.

◆ 7. ACQUISITIONS

📌 Definition

An acquisition occurs when one company purchases another company.

Benefits

- Enter new markets
 - Gain new technologies
 - Increase market share
 - Improve competitive positioning
-

Example

Google Acquiring Android (2005)

Enabled Google to dominate the mobile operating system market.

◆ 8. DIVERSIFICATION GROWTH STRATEGIES

📌 Definition

Diversification means expanding into new products and/or new markets to achieve growth and reduce risk.

◆ 9. TYPES OF DIVERSIFICATION

A. Related Diversification

New businesses are related to existing operations.

Benefits

- Shared resources
- Shared technology
- Shared customers

Examples

- Auto parts → Heavy equipment parts
 - Consumer electronics → Home appliances
-

B. Unrelated Diversification

Expansion into completely different industries.

Examples

TATA

- Steel
- Chemicals
- Hotels
- Software

ITC

- Tobacco
- Hotels
- Apparel
- Paper

C. Geographic Diversification

Expansion into new locations.

Examples

- New states
- New countries
- New regions

◆ 10. METHODS OF DIVERSIFICATION

Horizontal Diversification

New complementary products for existing customers.

Example

Ice cream company adding confectionery products.

Concentric Diversification

Products with technological or marketing synergies.

Example

PC manufacturer producing laptops.

Conglomerate Diversification

Completely unrelated products and markets.

Example

Film studio opening an entertainment park.

Vertical Diversification

Expansion along the supply chain.

Example

Manufacturer opening retail stores.

◆ 11. BENEFITS OF DIVERSIFICATION

Advantages

- ✓ Flexibility
 - ✓ Increased market share
 - ✓ Revenue growth
 - ✓ Risk reduction
 - ✓ Business survival during downturns
-

◆ 12. DRAWBACKS OF DIVERSIFICATION

Challenges

- ✗ Lack of expertise
 - ✗ High innovation risk
 - ✗ Increased complexity
 - ✗ Management difficulties
-

◆ 13. HORIZONTAL GROWTH STRATEGY

✚ Definition

Horizontal Integration occurs when firms operating at the same stage of the value chain combine or acquire competitors.

Authors' Definitions

- Richard Lynch
- David Aaker
- Gerry Johnson & Kevan Scholes

all describe horizontal integration as acquiring or combining with competitors to increase market power.

Advantages

Market Expansion

Access to more customers.

Higher Market Share

Improved competitive position.

Increased Revenue

Greater sales volume.

Economies of Scale

Reduced per-unit costs.

Price Advantage

Improved pricing power.

Disadvantages

- ✗ Regulatory scrutiny
- ✗ Antitrust concerns
- ✗ Monopoly risks

Limitations

- ✗ Less flexibility
- ✗ Slow response to change
- ✗ Vulnerable to innovative startups

◆ 14. VERTICAL GROWTH STRATEGY

✚ Definition

Vertical Growth (Vertical Integration) occurs when a company expands upstream or downstream within the same value chain.

Objectives

- Supply chain control
- Cost reduction
- Quality control

- Increased bargaining power
-

◆ 15. TYPES OF VERTICAL INTEGRATION

A. Backward Integration

Meaning

Move upstream toward suppliers.

Examples

- Owning raw material sources
- Acquiring suppliers

Benefits

- Lower input costs
 - Better supply control
-

B. Forward Integration

Meaning

Move downstream toward customers.

Examples

- Own retail outlets
- Own distribution network

Benefits

- Better customer access
 - Improved profitability
 - Stronger market presence
-

◆ 16. ADVANTAGES OF VERTICAL INTEGRATION

Benefits

- ✓ Increased sales
- ✓ Supply chain control

- ✓ Economies of scale
 - ✓ Better coordination
 - ✓ Quality assurance
 - ✓ Production flexibility
-

◆ 17. DISADVANTAGES OF VERTICAL INTEGRATION

Challenges

- ✗ High capital investment
 - ✗ Increased complexity
 - ✗ Vulnerability to industry downturns
 - ✗ Difficult management coordination
 - ✗ Risk of over-dependence on one strategy
-

◆ 18. HORIZONTAL vs VERTICAL GROWTH (VERY IMPORTANT)

Horizontal Growth	Vertical Growth
Lower capital requirement	Higher capital requirement
Not self-sufficient	More self-sufficient
Faster scaling	Slower scaling
Similar businesses	Different stages of value chain
Increases revenue	Increases efficiency
Profit through pricing power	Profit through cost control

(As shown in the comparison table on page 14.)

🔑 KEY EXAM PHRASES

"Intensive growth focuses on existing products and markets."

"Ansoff Matrix identifies four growth strategies."

"Market Penetration is the lowest-risk growth strategy."

"Diversification is the highest-risk growth strategy."

"Horizontal integration increases market share."

"Vertical integration increases supply chain control."

"Backward integration controls suppliers; Forward integration controls distribution."

EXPECTED EXAM QUESTIONS WITH ANSWERS

Q1. Explain Ansoff's Product-Market Matrix.

Answer:

The Ansoff Matrix provides four growth strategies:

1. Market Penetration
2. Product Development
3. Market Development
4. Diversification

It helps organizations select growth opportunities based on products and markets.

Q2. What is Intensive Growth Strategy?

Answer:

Intensive Growth Strategy focuses on increasing sales and market share within existing products and markets through penetration, product development, and market development.

Q3. Differentiate Horizontal and Vertical Growth.

Answer:

Horizontal Growth involves combining with competitors, whereas Vertical Growth involves expanding along the supply chain through backward or forward integration.

Q4. What is Diversification Strategy?

Answer:

Diversification is expansion into new products and/or new markets to achieve growth, reduce risk, and increase revenue.

Q5. Explain Backward and Forward Integration.

Answer:

- Backward Integration: Acquiring suppliers or controlling raw materials.
 - Forward Integration: Controlling distribution channels or retail outlets.
-

 CASE-STUDY-BASED ANSWERS FOR STRATEGIC MANAGEMENT

Case 1: Company wants to increase sales in existing markets

Solution:

Use Market Penetration:

- Promotions
 - Discounts
 - Customer retention programs
-

Case 2: Company plans to launch new products for existing customers

Solution:

Apply Product Development Strategy:

- Product innovation
 - Product upgrades
 - New product launches
-

Case 3: Company entering international markets

Solution:

Use Market Development Strategy:

- Geographic expansion
 - New customer segments
 - Localization
-

Case 4: Company wants control over raw material supply

Solution:

Apply Backward Integration:

- Acquire suppliers
 - Build own sourcing facilities
-

Case 5: Company wants rapid market share growth

Solution:

Use Horizontal Integration:

- Merge with competitors
 - Acquire rival firms
 - Achieve economies of scale
-

LAST-MINUTE REVISION

Focus heavily on:

- ✓ Intensive Growth Strategy
- ✓ Ansoff Product-Market Matrix
- ✓ Product Development Process
- ✓ Mergers & Acquisitions
- ✓ Diversification Strategies
- ✓ Horizontal Integration
- ✓ Vertical Integration
- ✓ Backward vs Forward Integration

These are the most likely topics for **5-mark, 10-mark, and case-study questions** in Strategic Management examinations.

■ STRATEGIC MANAGEMENT – WEEK 12 SUMMARY (Setting Unique Culture Within the Organization) – EXAM READY

This chapter focuses on **Organizational Culture, Strategic Intent, Kanban Boards, Strategic Control, Innovation & Entrepreneurship, and Business Viability**. These concepts are highly important for **strategy implementation, organizational effectiveness, leadership, innovation, and case-study questions**.

◆ 1. ORGANIZATIONAL CULTURE

✚ Definition

Organizational Culture is the collection of:

- Values
- Beliefs
- Attitudes
- Systems
- Rules
- Practices

that influence employee behavior and shape how stakeholders experience the organization.

Key Idea

Organizational culture represents the personality of a company.

◆ 2. OUTCOMES OF INEFFECTIVE ORGANIZATIONAL CULTURE

An ineffective culture lacks clear values, norms, and a positive working environment.

Consequences

Problem	Impact
Disengaged Employees	Lower motivation and productivity
High Turnover	Increased recruitment and training costs
Poor Customer Relations	Reduced customer satisfaction
Low Morale	Weak organizational commitment

Problem	Impact
Lower Profits	Reduced organizational performance

Exam Point

Ineffective Culture → Employee Dissatisfaction → Poor Customer Service → Lower Profits.

◆ 3. TENETS OF ORGANIZATIONAL CULTURE

These are the fundamental assumptions that shape culture.

1. Human Nature

Questions:

- Are people good or bad?
 - Proactive or reactive?
 - Mutable or immutable?
-

2. Organization–Environment Relationship

Defines:

- Business identity
 - Stakeholders
 - Market position
-

3. Appropriate Emotions

Determines:

- Which emotions are encouraged
 - Which emotions are discouraged
-

4. Effectiveness

Measures organizational success through performance metrics.

Key Insight

Culture must align with business strategy and organizational structure for effectiveness.

◆ 4. ORGANIZATIONAL VALUES (VERY IMPORTANT)

1. Outcome Orientation

Focus on:

- Results
- Performance
- Goal achievement

Benefit

Higher accountability and productivity.

2. People Orientation

Focus on:

- Employee well-being
- Development
- Satisfaction

Benefit

Higher morale and engagement.

3. Team Orientation

Focus on:

- Collaboration
- Cooperation
- Shared success

Benefit

Improved teamwork and innovation.

4. Attention to Detail

Focus on:

- Accuracy

- Precision
 - Quality
-

5. Stability

Focus on:

- Consistency
 - Reliability
 - Predictability
-

6. Innovation

Focus on:

- Creativity
 - Continuous improvement
 - New ideas
-

7. Aggressiveness

Focus on:

- Competitive advantage
 - Market leadership
 - Risk-taking
-

◆ 5. ORGANIZATIONAL ORIENTATION

People Orientation

Belief:

People drive organizational performance.

Task Orientation

Belief:

Processes and efficiency drive performance.

Comparison

People Orientation	Task Orientation
Employee-focused	Process-focused
Human-centered	Efficiency-centered
Development emphasis	Performance emphasis

◆ 6. STRATEGIC INTENT (VERY IMPORTANT)

📌 Definition

Strategic Intent is a long-term vision that guides organizational actions beyond traditional planning.

Three Core Elements

A. Direction

Defines:

- Purpose
 - Vision
 - Long-term goals
-

B. Discovery

Focuses on:

- Learning
 - Adaptation
 - Opportunity identification
-

C. Destiny

Represents:

- Future aspirations
- Long-term impact
- Organizational legacy

Easy Memory Tip

Strategic Intent = Direction + Discovery + Destiny (3D Model).

◆ 7. BEST PRACTICES

Definition

Best Practices are standardized methods known to produce superior outcomes.

Characteristics

- Improve quality
 - Increase efficiency
 - Ensure consistency
 - Established by governing bodies
-

◆ 8. KANBAN BOARD (VERY IMPORTANT)

📌 Definition

A Kanban Board is a visual workflow management tool originally developed by **Toyota**.

Purpose

- Visualize work
 - Improve workflow
 - Reduce bottlenecks
 - Increase efficiency
-

Components of Kanban Board

The diagram on page 7 illustrates the basic Kanban structure:

Columns

Typical stages:

- To Do
- In Progress
- Review

- Done
-

Cards

Represent:

- Tasks
 - User stories
 - Work items
-

Work-in-Progress (WIP) Limits

Purpose:

- Prevent overload
 - Improve task completion
 - Identify bottlenecks
-

Backlog

Stores pending tasks.

Visual Signals

Examples:

- Colors
- Icons
- Labels

Used to indicate:

- Priority
 - Delays
 - Blockers
-

Continuous Improvement

Regular review and optimization of workflow.

Collaboration

Provides transparency across teams.

◆ 9. KANBAN WORKFLOW (IMPORTANT)

The diagrams on pages 8–10 explain the workflow.

Step 1

Visualize workflow.

Step 2

Identify work types.

Step 3

Write tasks on cards.

Step 4

Move cards through workflow stages.

Step 5

Improve workflow and eliminate bottlenecks.

Key Principle

Limit Work in Progress (WIP) to maintain smooth workflow.

◆ 10. KANBAN TOOLS

Popular tools include:

Tool	Purpose
Trello	Visual task management
Office Timeline	Timelines & Gantt charts

Tool	Purpose
Monday.com	Workflow management
Smartsheet	Project tracking
Jira	Agile & Kanban management
Businessmap (Kanbanize)	Enterprise workflow management

◆ 11. STRATEGIC CONTROL (VERY IMPORTANT)

📌 Definition

Strategic Control is the process of:

- Monitoring
- Measuring
- Evaluating
- Correcting

strategy implementation to ensure achievement of long-term objectives.

Key Quote

Strategic control provides warning signals and triggers corrective actions.

◆ 12. NEED FOR STRATEGIC CONTROL

Even well-designed strategies may fail during implementation due to:

- Environmental changes
- Incorrect assumptions
- Operational issues

Strategic control helps organizations:

- Detect problems early
 - Adjust strategies
 - Improve outcomes
-

◆ 13. STRATEGIC CONTROL PROCESS

Step 1: Determine What to Control

Identify critical success factors.

Step 2: Set Standards

Establish performance benchmarks.

Step 3: Measure Performance

Collect actual performance data.

Step 4: Compare Performance

Compare actual results with standards.

Step 5: Analyze Deviations

Identify causes of gaps.

Step 6: Take Corrective Action

Implement necessary improvements.

Easy Memory

D-S-M-C-A-C

(Determine → Set → Measure → Compare → Analyze → Correct)

◆ 14. IMPORTANCE OF STRATEGIC CONTROL

Benefits

- ✓ Measures progress
- ✓ Provides feedback
- ✓ Supports continuous improvement
- ✓ Encourages rewards and recognition

- ✓ Improves strategic alignment
-

◆ 15. TYPES OF STRATEGIC CONTROL

Type	Focus
Financial Control	Revenue, profits, ROI
Operational Control	Daily operations
Marketing Control	Marketing performance
HR Control	Employee effectiveness
Environmental Control	External environment monitoring

◆ 16. INNOVATION & ENTREPRENEURSHIP

Innovation

Definition

Creation and implementation of:

- New ideas
- Products
- Services
- Processes

that improve performance.

Entrepreneurship

Definition

The process of identifying opportunities and creating ventures using innovation and risk-taking.

Relationship

Innovation creates opportunities.

Entrepreneurship commercializes those opportunities.

Exam Statement

Innovation generates ideas; Entrepreneurship converts ideas into business value.

◆ 17. ROLE OF INNOVATION

Benefits

- ✓ Creates new industries
 - ✓ Competitive advantage
 - ✓ Higher productivity
 - ✓ Technological advancement
 - ✓ Increased profitability
-

◆ 18. ROLE OF ENTREPRENEURSHIP

Benefits

- ✓ Job creation
 - ✓ Economic growth
 - ✓ Wealth creation
 - ✓ Innovation diffusion
 - ✓ Market development
-

◆ 19. TYPES OF ENTREPRENEURS

Serial Entrepreneur

Starts multiple businesses over time.

Social Entrepreneur

Focuses on solving social/environmental issues.

Scalable Entrepreneur

Builds high-growth ventures.

Small Business Entrepreneur

Serves local markets.

Technopreneur

Focuses on technology-based ventures.

Lifestyle Entrepreneur

Creates businesses aligned with personal interests.

◆ 20. INNOVATION vs ENTREPRENEURSHIP (VERY IMPORTANT)

Innovation	Entrepreneurship
Creation of something new	Commercialization of ideas
Lower risk	Higher risk
Often short-term	Long-term value creation
Idea-focused	Business-focused
Innovator may stop at concept stage	Entrepreneur drives implementation

(As shown in the comparison table on page 16.)

◆ 21. BUSINESS VIABILITY

✚ Definition

Business Viability refers to the ability of a business to:

- Survive
- Grow
- Generate profits
- Sustain operations over time

Key Objective

Ensure long-term sustainability and returns for investors.

◆ 22. IMPORTANCE OF BUSINESS VIABILITY

Benefits

- ✓ Supports growth decisions
- ✓ Evaluates sustainability
- ✓ Protects against competition
- ✓ Assesses real-world feasibility

◆ 23. PURPOSE OF A VIABILITY STUDY

A viability study evaluates:

- Technical feasibility
- Market conditions
- Supply chain
- Financial returns
- Technology requirements

Key Question

Is the business idea worth pursuing?

◆ 24. HOW BUSINESS VIABILITY HELPS

Benefits

- Increases success probability
- Supports planning
- Provides a broader perspective
- Identifies opportunities
- Suggests solutions

◆ 25. BUSINESS VIABILITY ASSESSMENT FACTORS

Scope Definition

Clarifies business boundaries.

Market Analysis

Studies:

- Demand
 - Competition
 - Industry trends
-

Risk Analysis

Evaluates uncertainties.

Scientific Analysis

Uses:

- Data
- Financial modeling
- Market research

for decision-making.

KEY EXAM PHRASES

"Organizational culture is the personality of an organization."

"Strategic Intent consists of Direction, Discovery, and Destiny."

"Kanban visualizes workflow and limits work-in-progress."

"Strategic control ensures strategy implementation remains on track."

"Innovation creates ideas; entrepreneurship commercializes them."

"Business viability determines long-term sustainability."

EXPECTED EXAM QUESTIONS WITH ANSWERS

Q1. Define Organizational Culture.

Answer:

Organizational culture is the set of values, beliefs, attitudes, and practices that influence employee behavior and organizational performance.

Q2. Explain Strategic Intent.**Answer:**

Strategic Intent is a long-term vision comprising:

1. Direction
2. Discovery
3. Destiny

It guides organizational growth and competitive positioning.

Q3. What is a Kanban Board?**Answer:**

A Kanban Board is a visual workflow management tool that uses columns and cards to track work progress and improve efficiency.

Q4. Explain the Strategic Control Process.**Answer:**

The process involves:

1. Determine what to control
 2. Set standards
 3. Measure performance
 4. Compare performance
 5. Analyze deviations
 6. Take corrective action
-

Q5. Differentiate Innovation and Entrepreneurship.**Answer:**

Innovation focuses on creating new ideas, whereas entrepreneurship focuses on transforming those ideas into profitable ventures.

✓ CASE-STUDY-BASED ANSWERS FOR STRATEGIC MANAGEMENT

Case 1: Company facing high employee turnover

Solution:

Improve organizational culture by:

- Increasing people orientation
 - Enhancing engagement
 - Strengthening communication
-

Case 2: Project delays and workflow bottlenecks

Solution:

Implement Kanban:

- Visualize workflow
 - Set WIP limits
 - Improve task flow
-

Case 3: Strategy implementation failure

Solution:

Apply Strategic Control:

- Measure performance
 - Analyze deviations
 - Take corrective action
-

Case 4: Startup with innovative product idea

Solution:

Combine:

- Innovation (idea generation)
- Entrepreneurship (commercialization)

to achieve market success.

Case 5: Investor evaluating a new business

Solution:

Conduct Business Viability Analysis:

- Market study
 - Financial feasibility
 - Risk assessment
 - Sustainability evaluation
-

 LAST-MINUTE REVISION

Focus heavily on:

- ✓ Organizational Culture
- ✓ Organizational Values
- ✓ Strategic Intent (Direction–Discovery–Destiny)
- ✓ Kanban Board & Workflow
- ✓ Strategic Control Process
- ✓ Types of Strategic Control
- ✓ Innovation vs Entrepreneurship
- ✓ Types of Entrepreneurs
- ✓ Business Viability

These are the most likely topics for **5-mark, 10-mark, and case-study questions** in Strategic Management examinations.